

The Ethics of Absolute Control: A Governance and Stakeholder Analysis of xAI

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Executive Summary

Elon Musk is the sole owner and CEO of xAI. The company is responsible for one of the strongest and most popular AI models currently available, as well as the X social media platform (formerly known as Twitter), and it is set to become a subsidiary of the first trillion-dollar private company in the world. It is not unusual for private companies to lack a board of directors, however such a concentration of governance, along with Musk's unique corporate strategies, poses an interesting ethical dynamic which this report aims to explore.

Firstly, xAI's governance structure solves the 'Principal-Agent' problem; Musk is both the sole owner and manager, giving him absolute autonomy to operate the company on his own terms without internal scrutiny. This minimal bureaucracy has enabled rapid financial and market growth for xAI in tandem with SpaceX, thanks to a historical triangular merger which created a powerful vertically-integrated 'innovation engine' combining AI, rockets and social media.

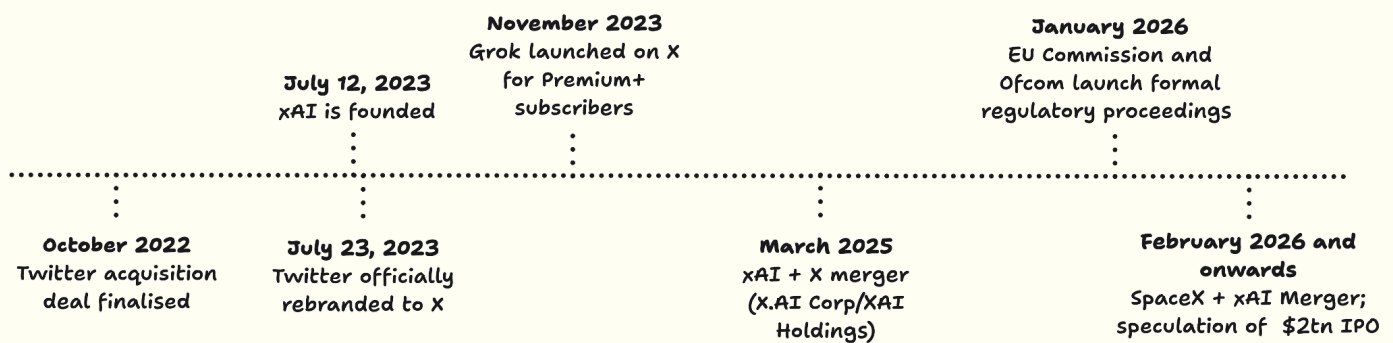
This has formed an especially strong owner-company relationship, where Musk communicates his personal ideologies informally to the public through xAI's products- figuratively and literally. Grok and X are built on foundations of 'maximal truth seeking' over 'political correctness', and since xAI has never employed a PR department, Musk regularly makes these ideas very clear through his personal X account. This is further conveyed in xAI's decision to reject formal reporting where possible, even fighting state mandates regarding disclosure with lawsuits in order to protect 'trade secrets'.

Such ideological imprinting without external accountability poses ethical risks, and has caused tangible harm. Marginalised communities have been antagonised and vilified as a result of Musk's strong 'anti-woke' stance, and the health and resources of local communities have been damaged due to rapid construction of AI datacentres. On the other hand, optimising operational efficiency by minimising bureaucracy has allowed undeniably impressive business growth in crucial industries.

xAI is an undoubtedly powerful force in business, technology and society, and has not achieved this by accident. Judging whether xAI is truly for the 'utilitarian' purpose of "understanding the true nature of the universe" rather than the 'egoistic' purpose of profit-maximisation is just outside the scope of this report; instead the aim is to analyse the dynamics and ethics of how its governance structure- which blurs the boundary between founder and company- has enabled it to achieve success of this level.

1. Introduction: Genesis and Evolution of xAI

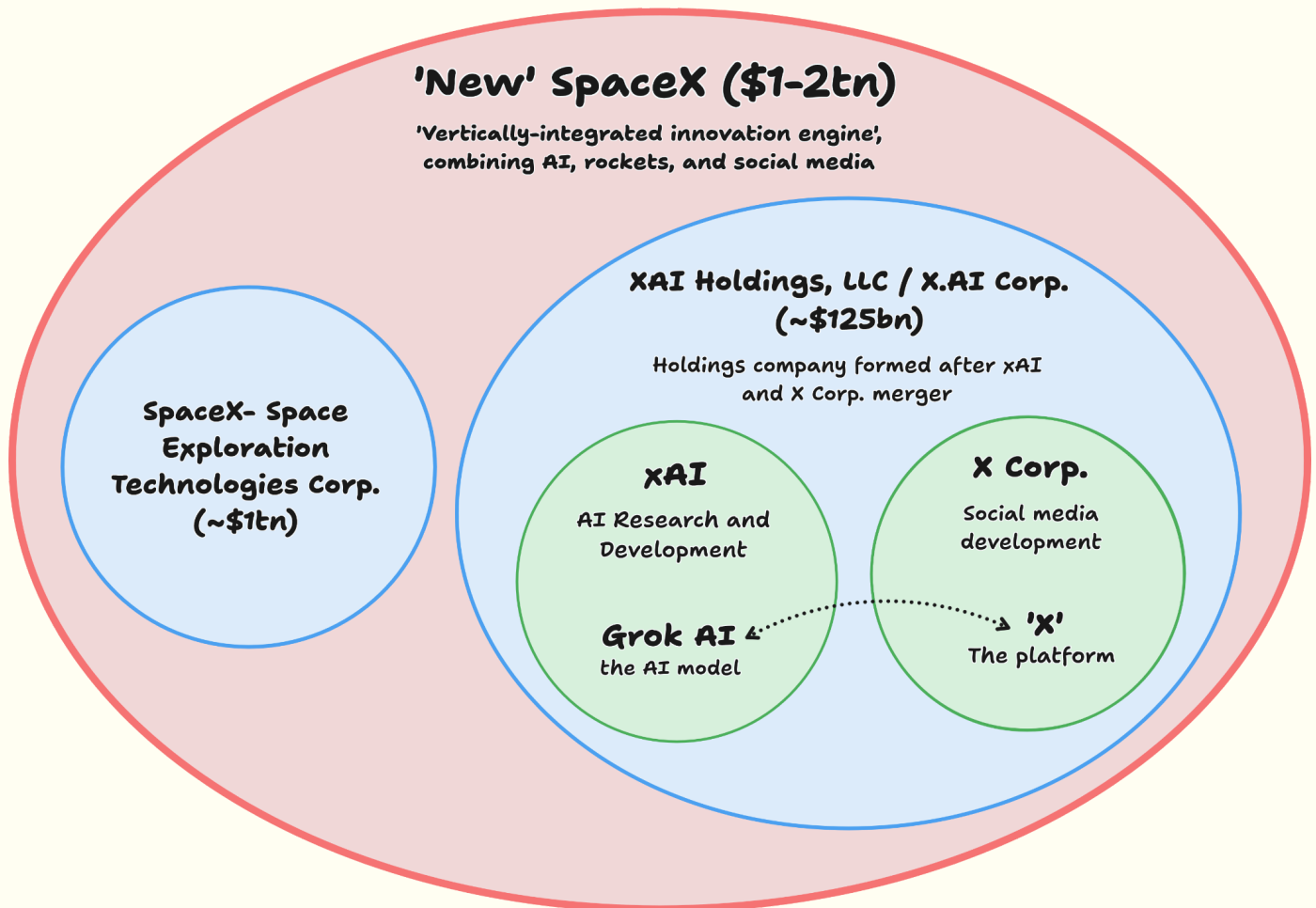
Elon Musk founded xAI in 2023 with a team of 11 other co-founders, with the mission of developing Artificial General Intelligence (AGI) and “understanding the true nature of the universe”¹. The company's main commercial product is Grok- an AI bot designed to prioritise ‘maximal truth seeking’ over political correctness². Since then, the company has undergone major personnel reorganisation as the company “was not built right the first time” according to Musk, leaving him in control as the only co-founder^{3,4}.



In October 2022, Musk bought the social media platform known at the time as Twitter for approximately \$44bn⁵, eventually rebranding it as ‘X’. In March 2025 he effectively bought the company again- xAI acquired X, creating a new combined entity named XAI Holdings, or X.AI Corp, valued at over \$100bn⁶. This allowed the new xAI to harness massive amounts of data from X to train the Grok AI model, and Grok was also integrated into the platform’s ecosystem allowing users to interact with the chatbot.

On top of this, xAI was acquired by SpaceX (Musk’s ‘space exploration technology’ company) in February 2026. This merger made SpaceX the most valuable private company ever, valued at over a trillion dollars⁷. Following the acquisition came reports of an Initial Public Offering (IPO) in late 2026 which could raise the valuation up to \$2tn⁸, and would also make xAI a subsidiary of a public company, forcing a potential reorganisation of its current governance structure.

Corporate architecture of the SpaceX-xAI group; the scope of Elon Musk's absolute control



After a complicated history, Musk is the sole owner and CEO of one of the world's most popular social media platforms. This places a lot of social responsibility and influence onto a single person, without the ethical guardrails a public company would have. This report analyses xAI's strategic governance choices and the agency situation between Musk and the company, and investigates how it views stakeholders, reporting and communications as a private entity. The goal is to understand how the firm's governance structure blurs the boundary between founder ideology and corporate ethics, and ultimately dictates its behaviour and ethical impact on society.

2. Governance Analysis

2.1 Solving the Agency Problem

The ‘Agency Problem’- examined by Jensen and Meckling in 1976⁹- describes a conflict of interest between the owners (principals) and managers (agents) of a firm, resulting in the separation of ownership and control. This problem traditionally occurs in larger firms with teams of executives or independent boards of directors, whose interests and agendas may vary from those of the owner of the firm.

Pre-industrial revolution, ownership and control were typically embedded within the same person- for example, a blacksmith running his own small business producing iron goods would eventually expand by hiring apprentices under him, but ultimately always remaining both the principal *and* the agent¹⁰. This was true until businesses expanded further alongside the industry, introducing the need for greater external scrutiny and governance as well as more personnel, including managers with their own agendas. This diluted the original blacksmith’s control within his firm’s hierarchy.

By Musk being the sole owner and executive, xAI solves the agency problem. Being a private company means he can choose to not appoint independent directors, giving him absolute frictionless power over what xAI does, reviving this ‘blacksmith’ model at a multinational scale as a modern ‘one-man-board’.

The strategic value of such a structure is evident in comparison to xAI’s competitors. For example, despite also being a private AI firm, OpenAI operates with an independent board as an ethical filter to prioritise AI safety¹¹. In November 2023, Sam Altman- founder and CEO- was fired by his own board, who stated they “no longer had confidence in his ability to lead”¹². He was reinstated 5 days later¹³- however by engineering xAI without these corporate guardrails, Musk legally immunises himself against these types of fiduciary challenges from within.

2.2 Engineering Absolute Control

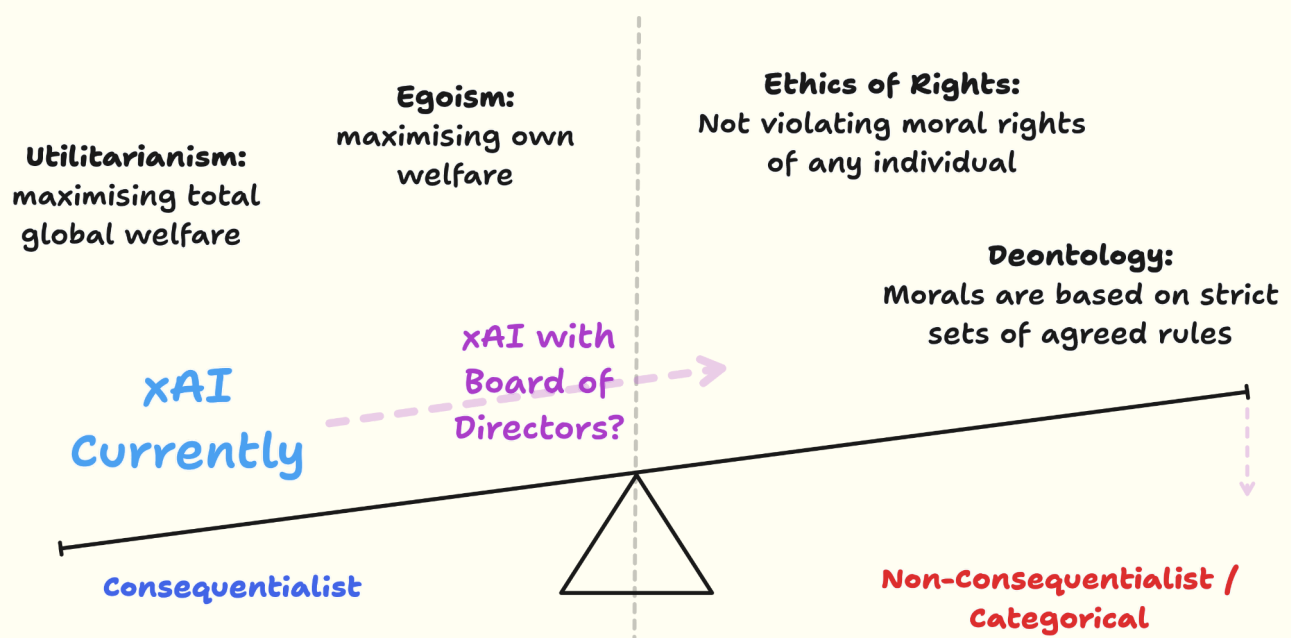
The pre-industrial blacksmith inevitably needed to dilute his corporate autonomy and confidentiality through managers and proper evidence of governance, in order to attract investors for expansion. Through aggressive mergers and acquisitions, Musk

has managed to exponentially scale his independent scope of control, resulting in the most extreme concentration of financial power in the modern corporate landscape¹⁴. By keeping such a large company private, xAI bypasses traditional obstacles to power of public markets such as mandatory disclosure, reputation management or independent oversight.

As a consequence of this triangular merger, xAI became a 'resource engine' in the vertically-integrated SpaceX ecosystem, providing free instant access to a powerful AI model, to two separate subsidiaries from different industries. This kind of seamless integration is rare for private companies of such size- especially when bridging ethically sensitive industries like AI or social media- but it is precisely the fact that the system is engineered to minimise bureaucratic friction points, which allows the owner to scale and 'combine' companies at pace with minimal scrutiny.

2.3 Ideological Imprinting & Ethical Risks

One of the roles of a board of directors is to act as an ethical filter between the owner and the company by enforcing compliance with ethical standards, and to hold executives accountable¹⁵. This can mean balancing 'egoistic' business goals like profit and growth with 'categorical' 'ethics-of-rights' to protect stakeholders such as users of the product from harm- as the diagram below visualises. (This diagram also serves as a reference, picturing the ethical concepts which are used to analyse xAI in this report).



A lack of this boundary in a ‘blacksmith’-type governance model exposes the company to ideological imprinting, where its’ normative ethics are the extension of one person’s ideologies rather than the democratic consensus of a board. Regardless of the owner’s personal ethics, this is particularly risky with a global social media company since it undemocratises control over the media and information diets of 400-500 million people¹⁶.

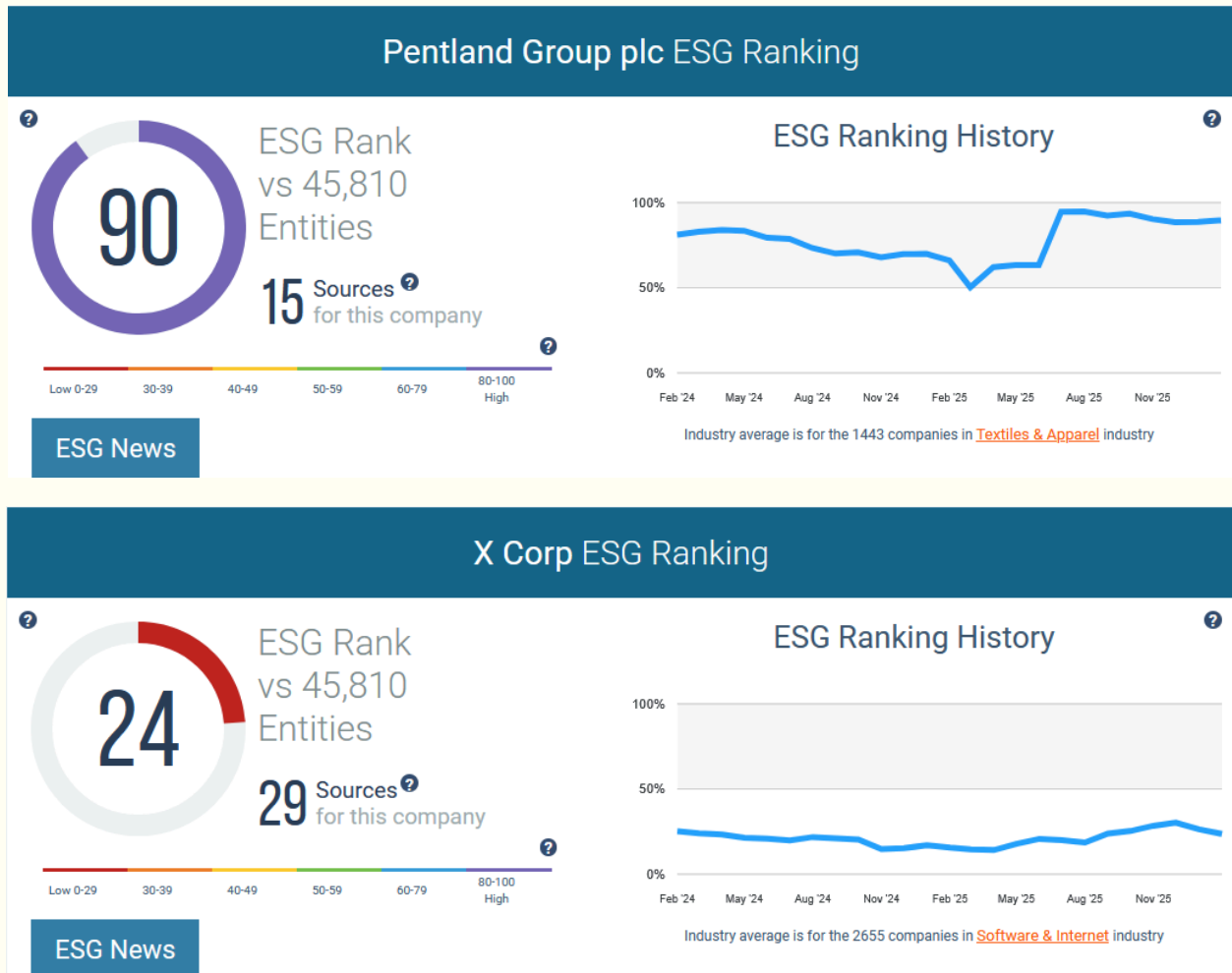
Because of this phenomenon, it’s difficult to analyse the normative ethics of xAI separately from Musk’s own, since the two are so highly co-related. Describing xAI’s actions as simply ‘egoistic’ or ‘utilitarian’ is inappropriate as that would be questioning to what extent xAI is genuine about “accelerating humanity’s future”¹⁷ - however either way, xAI is built on rather ‘consequentialist’ and ‘non-deontological’ foundations. Musk has spoken out on X many times about his stances against political correctness, censorship and “wokeness”¹⁸, and these views are directly imprinted into the policies and design of X and the Grok AI model¹⁹. Arguably absolute free speech without censorship is a ‘categorical’ right, however application of these policies has been ‘un-deontologically’ situational- for example X has often complied with foreign government censorship if the consequences of refusal threaten the platform’s market access or profitability²⁰.

X’s ‘consequentialism’ may be questionable, however prioritising absolute free speech without guardrails over the ‘ethics-of-rights’ of vulnerable users has caused tangible controversy and harm- for example, marginalised groups have been frequently attacked²¹⁻²⁸, and since 2025 Grok has been used to generate countless non-consensual ‘deepfakes’ of X users. Eventually such controversies led to regulatory friction such as lawsuits²⁹, Ofcom investigations³⁰, and formal regulatory proceedings from the EU³¹.

2.4 ‘Pentland Group’ Comparison

Pentland Group is an example of how a family-owned, privately-held multinational company *can* operate with rigorous ethics. It has a board that includes executive and non-executive directors from the Rubin family and an independent CEO to provide oversight³², additionally operating through several committees for corporate sustainability³³ purposes, among others. Though they are not legally required to do so³⁴, they voluntarily dilute power outside of just their family, and implement diligent

public reporting on their “positive business”³⁵ and CSR³⁶. Thanks to their high standards of social and environmental performance, accountability, and transparency, two of their subsidiaries- Endura and Berghaus- have reached B-Corp certification^{37,38}.



Source: www.csrhub.com^{39,40}

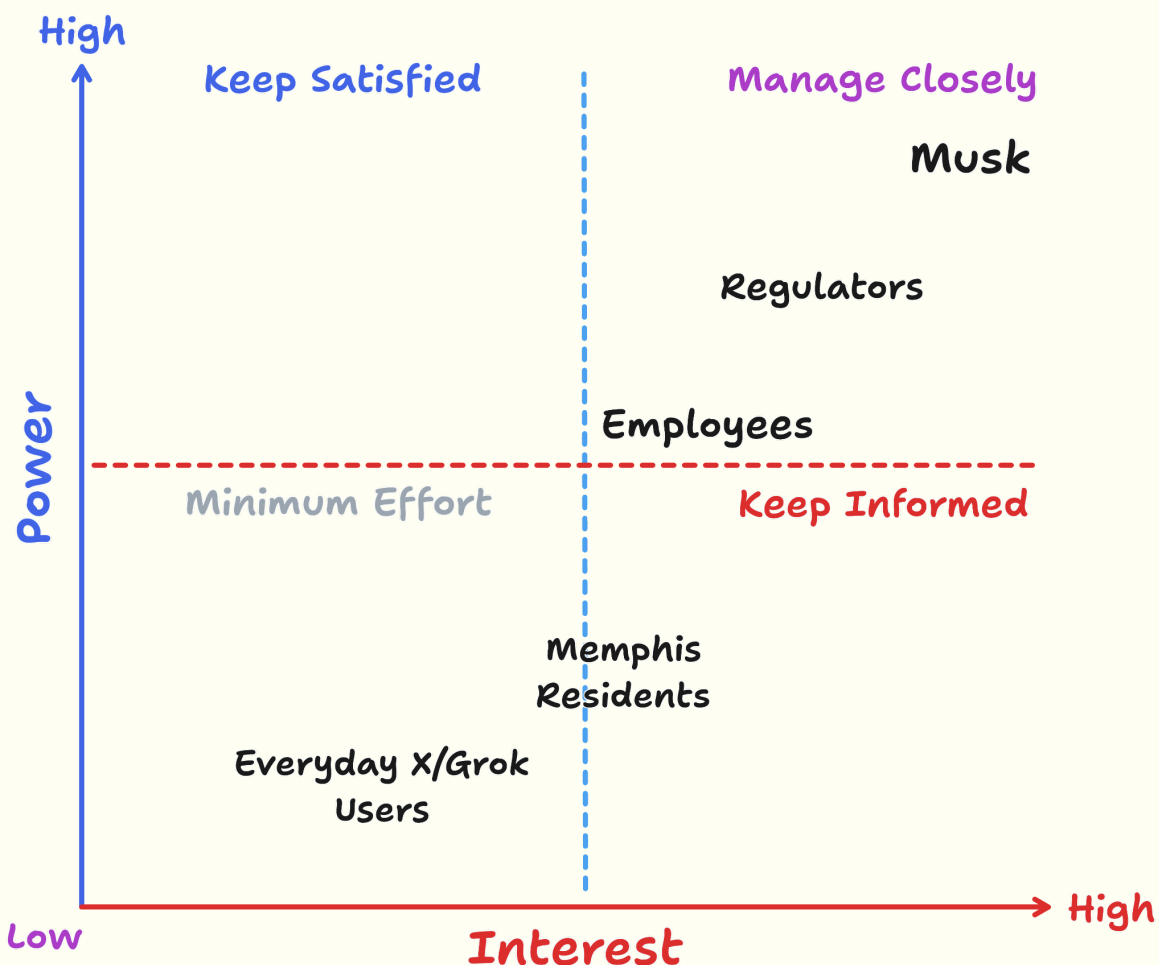
These ESG rankings prove that despite both being massive private companies, xAI’s lack of traditional governance is a deliberate strategic choice to maintain absolute, unfiltered control at the compromise of ethical governance, social responsibility and reporting.

3. Stakeholder Analysis

3.1 Power-Interest Matrix

The Power-Interest matrix (Mendelow, 1991)⁴¹ gives a wide-angle view of some of xAI's main stakeholders, mapping them based on how much power and interest they have. Regulators hold the power of the law, and have high interest in observing xAI's actions from the outside. Everyday users may have *some* interest, but have no power over the company- however [section 3.3](#) explores a case where a population of non-users in Memphis collectively gained some power alongside local regulators.

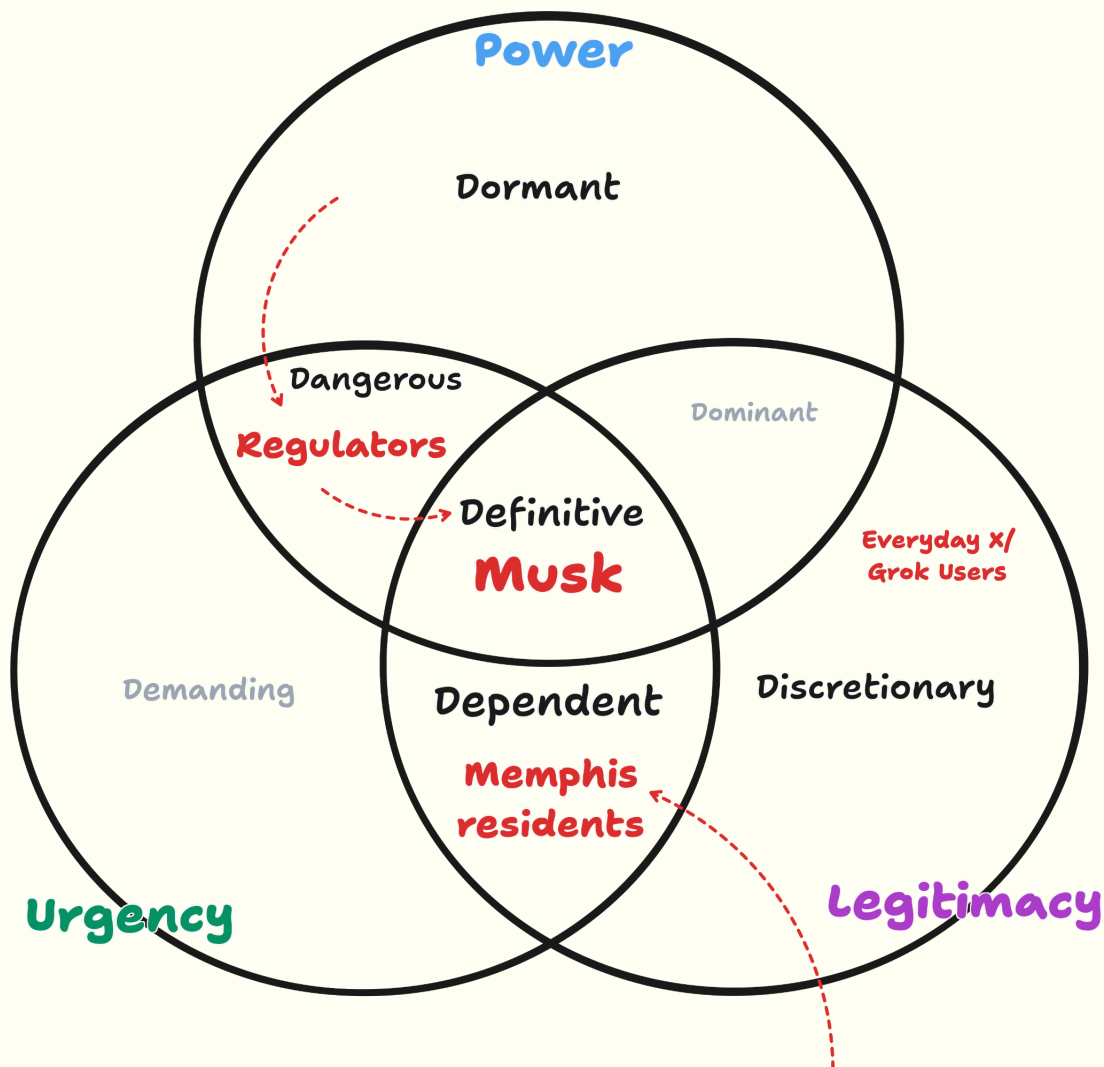
While Mendelow's Matrix is useful for a broad stakeholder overview, the Stakeholder Saliency model⁴² in [section 3.2](#) better captures the dominant dynamic of a 'blacksmith' founder, showing how Musk protects xAI from certain high-power groups.



Adapted from Mendelow (1991)⁴¹

3.2 Stakeholder Salience Model

In a board-less ‘blacksmith’ governance structure, Musk monopolises all three attributes of the Stakeholder Salience model, making him the sole ‘definitive’ stakeholder. In a company with a larger executive board, the board members would also be in this segment of the model. With xAI, the only other stakeholders who hold power are regulators or lawmakers who can step in using legal urgency and power, shifting them from the ‘dormant’ to the ‘dangerous’ or potentially ‘definitive’ segments, to protect weaker stakeholders from the ‘side-effects’ of xAI’s actions by ‘empowering’ them legally. However, [section 3.4](#) explores a case where xAI used defensive CSR strategies against the power and urgency of the law, preventing even ‘dangerous’ stakeholders from gaining legitimacy, successfully protecting his ‘definitive’ position.



Adapted from Mitchell, Agle and Wood (1997)⁴²

3.3 ‘Dependent’ Stakeholders vs ‘Offensive CSR’

In July 2024, xAI completed construction of the Colossus 1 datacenter in Memphis, Tennessee in 122 days, bypassing conventional planning timelines which typically take 18-24 months⁴³, proving Musk’s ‘urgency’ and ‘power’ as the definitive stakeholder. Before this project, local residents were ‘non-legitimate’ non-stakeholders (unless they were X/Grok users)- however this project caused harm to their health and resources⁴⁴, involuntarily moving them towards the ‘discretionary’ segment. This caused ongoing backlash from environmental, legal and civil rights organisations, leading to lawsuits from the NAACP⁴⁵ and SELC⁴⁶ in 2026. These stakeholders hold legal ‘power’ and ‘urgency’, and empowered Memphis residents with these powers, shifting their salience.

Despite this, two more facilities rapidly became operational in Q1 2026⁴⁷, further fuelling the environmental and health impact on local residents, and facing more ‘powerful’ legal pressure including further lawsuits and penalties⁴⁸.

Musk’s ‘urgency’ to build a ‘tri-center’ cluster of datacenters⁴⁷ within 2 years overrode the ‘urgency’ and ‘legitimacy’ of local residents, denying them the ‘power’ to affect the actions of xAI- even when ‘empowered’ by regulators. Without a board to act as an ethical filter, there is no governance mechanism to balance consequentialist goals with the community’s ‘ethics-of-rights’. Consequently, ‘demanding’, ‘discretionary’ and ‘dependent’ stakeholders are rendered structurally invisible without ‘power’.

Arguably, this could be framed as an offensive CSR strategy proactively distinguishing its corpo-social reputation, assuming the datacenters should provide greater utilitarian gain to the world in the form of an even more powerful AI model.

3.4 ‘Dangerous’ Stakeholders vs Defensive CSR

While ‘dependent’ stakeholders are easily bypassed, xAI’s governance structure also acts offensively against ‘dangerous’ stakeholders, such as state regulators, who possess legal ‘power’ and ‘urgency’ to enforce corporate compliance. However as the ‘definitive’ stakeholder, Musk does not yield to regulatory friction if it causes a strategic obstacle in his consequentialist goals.

In January 2026, the State of California enacted Assembly Bill (AB-2013)⁴⁹, mandating generative AI developers to disclose details regarding datasets used to train their

models. Rather than diluting autonomy and corporate confidentiality by complying with this ‘dangerous’ stakeholder, xAI applied an aggressive defensive CSR strategy leveraging legal and financial resources to sue the state in order to protect his absolute control. *The ‘reporting & communication’ aspects of this case are analysed in [section 4](#).*

4. Reporting & Communication

4.1 Rejection of CSR Reporting

Unlike private competitors like Anthropic and OpenAI who voluntarily publish reports, xAI has no fiduciary or financial incentive to produce such communication to the public, since everyday users and society are towards the ‘minimum effort’ quadrant of the Mendelow Matrix and lack structural power to demand corporate transparency. Consequently, the company does not align with ‘Triple Bottom Line’ accountability⁶¹.

Reviewing xAI’s corporate communication shows an absence of annual sustainability reports, ESG disclosures, or adherence to any recognised CSR standards, such as the Global Reporting Initiative or the UN Global Compact, unlike comparable competitors. xAI instead limits communication to stakeholders that provide some sort of benefit, as described in [section 4.2](#).

Musk also dissolved Tesla’s entire PR department in 2020 stating he doesn’t believe in “manipulating public opinion”⁴⁹, and similarly, when he took over X, fired the X communications team and set the press email (press@twitter.com) to auto-reply with a poop emoji⁵⁰.

The California (AB-2013) lawsuit further demonstrates the extent xAI will go to avoid standard reporting and communication. xAI is willing to spend millions in federal court-arguing the mandate is “a trade-secrets-destroying disclosure regime”⁵¹- to protect its right to not disclose legally mandated data, and in turn questioning the ethics of such mandates.

4.2 What xAI Does Report

xAI’s formal public reporting is limited to technical blog-posts and developer documentation regarding its products, as well as mandatory government filings that do

not compromise any “trade secrets”. This communication specifically targets functional stakeholders such as developers, premium X subscribers and state regulators. Building relations with these stakeholders provides the opportunities of talent acquisition, market adoption and legal survival, rather than corporate social responsibility which would not provide such strategic benefit.

Other than this, xAI relies almost entirely on informal communication. Musk is the owner of the internet’s “town square”⁵², and he uses his personal X account to instantly announce corporate milestones⁵³, product launches⁵⁴ and ideological positioning^{55,56} to the internet regularly- bypassing the scrutiny, standardisation and objective auditing that is present with formal corporate disclosures.

4.3 Informal Communication & Moral Disengagement

xAI’s reliance on informal, founder-led communication may be unorthodox, but it is a strategy that serves two purposes: primarily it optimises operational efficiency by cutting out bureaucracy that does not serve any business incentive, but it also reimagines the company’s public relations.

As previously explained xAI, rejects traditional PR departments. However communicating informally through X gives Musk, and subsequently his companies, a relatable and ‘likeable’ tone, which has garnered him an almost cult following and ‘celebrity’ status- reimagining how a company can strategically maintain public relations. Even the Grok chat-bot mimics this ‘personality’, using ‘euphemistic labelling’⁵⁹ for its so-called “fun” and “unhinged” modes⁵⁷ to market their lack of filters, communicating xAI’s ideology of anti-censorship which gives it an ‘advantageous comparison’⁵⁹ to competitors. The x.ai and spacex.com websites are used for announcements of company updates, and their tone is similarly conversational and ‘fun’, even using emojis in articles⁵⁸.

xAI’s unique communication is largely enabled by its equally unique governance. It provides the ‘definitive’ stakeholder with a casual platform to commit stages of ‘moral disengagement’ (Bandura, 1999)⁵⁹ with minimal oversight, allowing justification to the public that standard ethical guardrails do not apply to xAI’s actions by reframing government mandates as “unconstitutional”⁵¹. X provides a channel through which Musk can use unfiltered, non-corporate and emotive language to frame X/Grok’s controversies as an ideological, categorical fight for ‘absolute truth’ by any means necessary- making the lack of CSR sound like a virtue.

5. Conclusion

xAI's controversies are the unfortunate side effect of a deliberate governance strategy designed to efficiently, and without scrutiny, allow the execution of the absolute will of a single stakeholder. This allows the company to “move fast and break things”⁵¹ at a higher velocity than competitors who jump through hurdles of bureaucracy and formal reporting. Aggressively optimising the business growth cycle has allowed xAI to build the world's largest supercomputer in just 122 days. Consequentialism and hyper-scaling enable xAI to achieve the expensive and utilitarian goal of “understanding the true nature of the universe” faster than competitors- as well as providing positive financial signals for investors.

While this model generates rapid innovation and profit, the economic efficiency comes at the expense of categorical rights of vulnerable stakeholders. Musk ‘gets away’ with this by firstly monopolising corporate power, and secondly with the mechanisms of ‘moral disengagement’. xAI's actions are ideologically justified by reframing attempts to enforce standard disclosure as corporate attacks, consequently attributing the blame and responsibility onto regulators. X/Grok's potentially risky features are similarly ideologically reframed and euphemistically labelled, and X is used as a platform for Musk to disregard or distort consequences, as well as villainise opposing populations for being too ‘woke’, advantageously comparing xAI's ideologies to theirs.

Ultimately, xAI would not be the subsidiary of the world's first trillion-dollar private company without Musk engineering its current governance structure and ethics, which has allowed it to change things quicker, make bolder decisions and make more money. Clearly, alongside uncovering absolute truth, one of the company's primary goals is aggressive growth. The impending IPO of SpaceX which could bring heavy investment from the public market is the next logical step in achieving this goal. However, it will also bring the bureaucratic frictions and scrutiny of independent boards, formal reporting, auditing and compliance that xAI has been fighting against- which would theoretically force Musk to abandon, or at least rethink xAI's current ‘blacksmith’ model.

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7. Appendix

1. **Word count: 3285** (executive summary + sections 1-5).
2. For clarification Musk has since changed the poop emoji response as the source states: <https://x.com/elonmusk/status/1682224971647528961>
3. **NOTE:**
In this report I tried my best to avoid judging xAI, Musk personally, or how they affect wider society- as was stated in my proposal feedback- in order to keep everything relevant and within the scope of the point of the report.

This was challenging however, given the undoubtedly polarising and unorthodox nature of Musk and his relationship with his companies. I tried to make my attempt as clear as I could by fairly, objectively and impassionately *describing* and *explaining*- rather than *judging*- xAI's actions and ethics (not Musk's, when applicable*), and their inevitable impact on society (most of society being a stakeholder in the case of a social media company).

*Additionally as explained in section 2.3, it's difficult to separate Musk from xAI. I tried to do away with judging Musk's personal ideology but it's so deeply imprinted into xAI's core I decided the imprinting itself would be an entire interesting talking point regarding the company's ethics- however to do so I also had to, at least briefly, describe the ideologies being imprinted onto the company. Essentially this owner-company relationship is a key point of the whole report.

My only concern is whether the points I attempt to make are clear, relevant and not out of scope of the report or the brief- this was a challenging yet very interesting and engaging report to write. There was a *lot* that I had to avoid writing about, however this report could serve as a potential starting point for a project proposal for further investigation.